Introduction to Finance

Chapter 1

Introduction to Financial Management (Pope)

What is Finance?

Finance is the art and science of managing wealth

- It is about making decisions regarding ***what*** assets to buy/sell, ***when*** to buy/sell them, and how to buy/sell those assets
- Finance is about making an investment, financing or payout decision

Decisions in Finance

Investment Decision

- Decision to invest in ***real assets:*** tangible (CAPEX) or intangible assets
- Involves hurdle rate and rate of return

Financing Decision

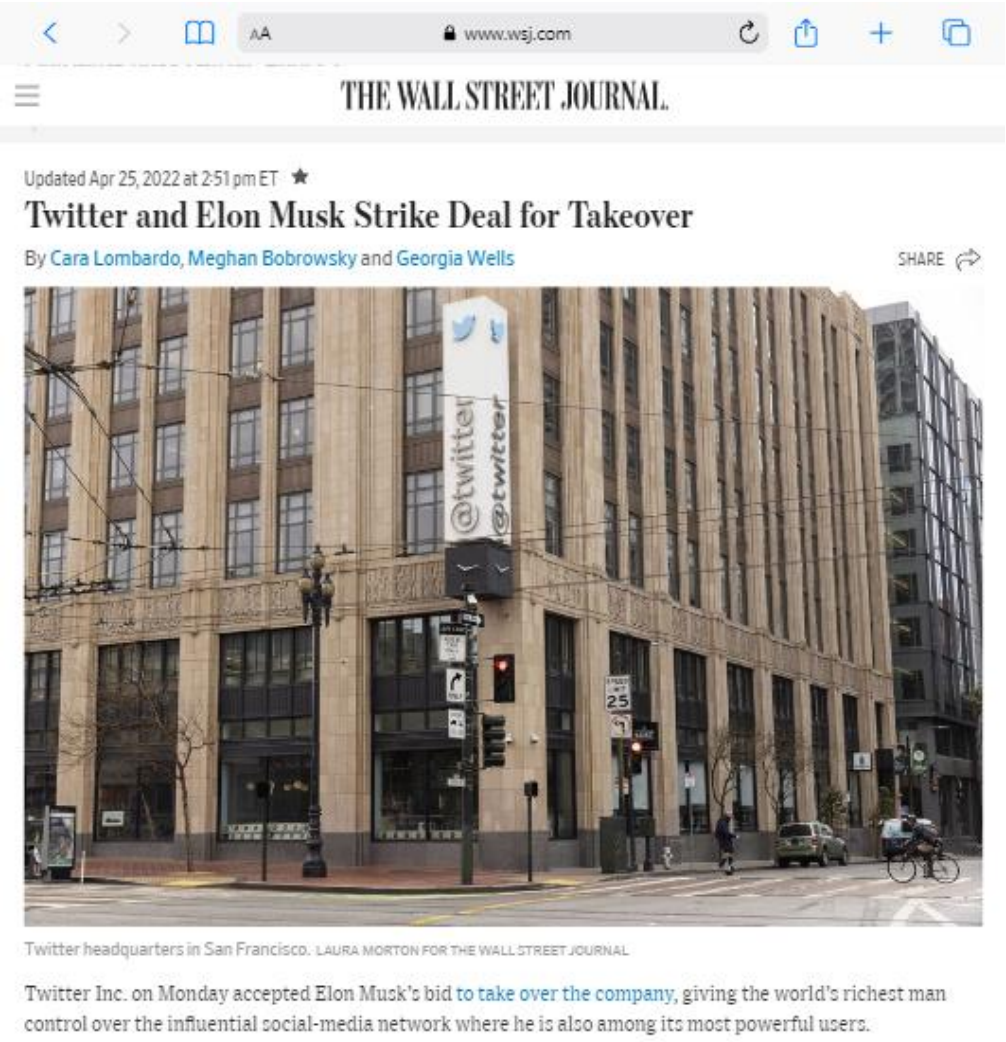
- Decision on the sources and amounts of financing
- Capital structure of the firm (mix of debt and equity)
- ***Financial assets*** (claim on future cash flows from real assets)

Payout (Dividend) Decision

Musk Offers to Buy Twitter

In early April of 2022, Elon Musk, the CEO of Tesla, made an unsolicited offer to buy Twitter for about $44 billion.

Is this an investment or financing decision?



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THE WALL STREET JOURNAL.

Updated Apr 25, 2022 at 2:51 pm ET

Twitter and Elon Musk Strike Deal for Takeover

By Cara Lombardo, Meghan Bobrowsky and Georgia Wells

SHARE

Twitter headquarters in San Francisco. LAURA MORTON FOR THE WALL STREET JOURNAL

Twitter Inc. on Monday accepted Elon Musk's bid to take over the company, giving the world's richest man control over the influential social-media network where he is also among its most powerful users.

Musk Offers to Buy Twitter

So what was the financing decision?

1. $13 billion in debt
2. $12.5 billion in debt against Musk's own equity
3. $21 billion of his own equity

AA www.sec.gov

receipt of any required governmental approvals; (ii) confirmatory legal, regulatory, accounting and tax due diligence; and (iii) negotiation and execution of definitive agreements providing for the Proposed Transaction. At the time of delivery, the Proposal was also subject to the completion of financing and business due diligence, but it is no longer subject to financing as a result of the Reporting Person's receipt of the financing commitments described below and is no longer subject to business due diligence.

The Reporting Person is seeking to negotiate a definitive agreement for the acquisition of Twitter by the Reporting Person and is prepared to begin such negotiations immediately.

On April 15, 2022, Twitter adopted a rights agreement, dated as of April 15, 2022 (as it may be amended from time to time, the "Rights Agreement"), by and between Twitter and Computershare Trust Company, N.A., as rights agent, and declared a dividend of one right issued pursuant to the Rights Agreement for each outstanding share of Common Stock (the "Poison Pill").

Twitter has not responded to the Proposal. Given the lack of response by Twitter, the Reporting Person is exploring whether to commence a tender offer to acquire all of the outstanding shares of Common Stock (together with the associated rights issued pursuant to the Rights Agreement (the "Rights" and, together with the Common Stock, the "Shares")) that are issued and outstanding (and not held by the Reporting Person) at a price of $54.20 per share, net to the seller in cash, without interest and less any required withholding taxes, subject to certain conditions (the "Potential Offer"), but has not determined whether to do so at this time.

To finance the Proposed Transaction or a Potential Offer, entities related to the Reporting Person have received commitment letters committing to provide an aggregate of approximately $46.5 billion as follows:

To finance the Proposed Transaction or a Potential Offer, entities related to the Reporting Person have received commitment letters committing to provide an aggregate of approximately $46.5 billion as follows:

(i) A debt commitment letter, dated April 20, 2022 (the "Debt Commitment Letter"), from Morgan Stanley Senior Funding, Inc. and certain other financial institutions party thereto as commitment parties (collectively, the "Commitment Parties") pursuant to which the Commitment Parties have committed to provide $13 billion in financing to the Reporting Person and related entities as follows: (a) a senior secured term loan facility in an aggregate principal amount of $6.5 billion, (b) a senior secured revolving facility in an aggregate committed amount of $500 million, (c) a senior secured bridge loan facility in an aggregate principal amount of up to $3 billion and (d) a senior unsecured bridge loan facility in an aggregate principal amount of up to $3 billion ((a) – (d) collectively, the "Debt Facilities");

(ii) A separate debt commitment letter, dated April 20, 2022 (the "Margin Loan Commitment Letter"), from Morgan Stanley Senior Funding, Inc. and certain other financial institutions party thereto as commitment parties (collectively, the "Margin Loan Commitment Parties") pursuant to which the Margin Loan Commitment Parties have committed to provide $12.5 billion in margin loans (the "Margin Loan Facility"), the proceeds of which will be distributed or otherwise made available to Purchaser; and

(iii) An equity commitment letter, dated April 20, 2022 (the "Equity Commitment Letter"), from the Reporting Person pursuant to which the Reporting Person has committed to provide equity financing for the Proposed Transaction or the Potential Offer sufficient to pay all amounts payable in connection with the Offer and the Merger (plus related fees and expenses), net of the amounts to be funded pursuant to the Debt Commitment Letter and the Margin Loan Commitment Letter, which is currently expected to be approximately $21 billion (the "Equity Financing").

Areas of Finance

Money and Banking

- Financial institutions/intermediaries: commercial banks, insurance companies, mutual funds, hedge funds
- raise money from investors and provide financing for individuals, companies, and other organizations

Investment

- advising, managing, or valuing assets, particularly financial assets
- Intrinsic vs market valuation
- Investment banking

Areas of Finance

Financial Management

- Sometimes referred to as Corporate Finance, includes
  - Selecting projects for investment (capital budgeting)
  - Financing projects (capital structure)
  - Daily financial decisions (working capital management)
- generally defined as activities that create or preserve the economic value of the assets of an individual, small business, or corporation
- Who is a ***financial manager*** and what is their goal?

Types of Business Organizations

SOLE PROPRIETORSHIPS AND PARTNERSHIPS	CORPORATIONS
Unlimited liability Personal tax on profits Harder to raise capital	Limited liability Corporate tax on profits and on dividends (double taxation) Easier to raise capital

Who runs the company? Owners or managers?

General Motors (GM) Financial Managers

Ticker symbol: ***GM***

Market cap*: $57 Billion

Total Rev*: $35.7 Billion

**as of August 2022*

Mary T. Barra, ***Chief Executive Officer*** *(CEO)*

- Leads the overall operation of the company
- Liaison to and often member of Board of Directors
- Not classically a "financial manager"

Paul Jacobson, ***Chief Financial Officer*** *(CFO)*

- Oversees all financial staff
- Responsible for financial policy and corporate planning

Loek Beckers, ***Treasurer***

- Maintain banking relationships
- Responsible for cash management and raising of capital
- Obtain and manage capital

Christopher Hatto, ***Controller***

- Manages accounting and tax operations
- Responsible for preparation of financial statement
- Ensures money is used efficiently

Goals of the Financial Manager

Classical view of the corporation (and FM): maximize the value of the business

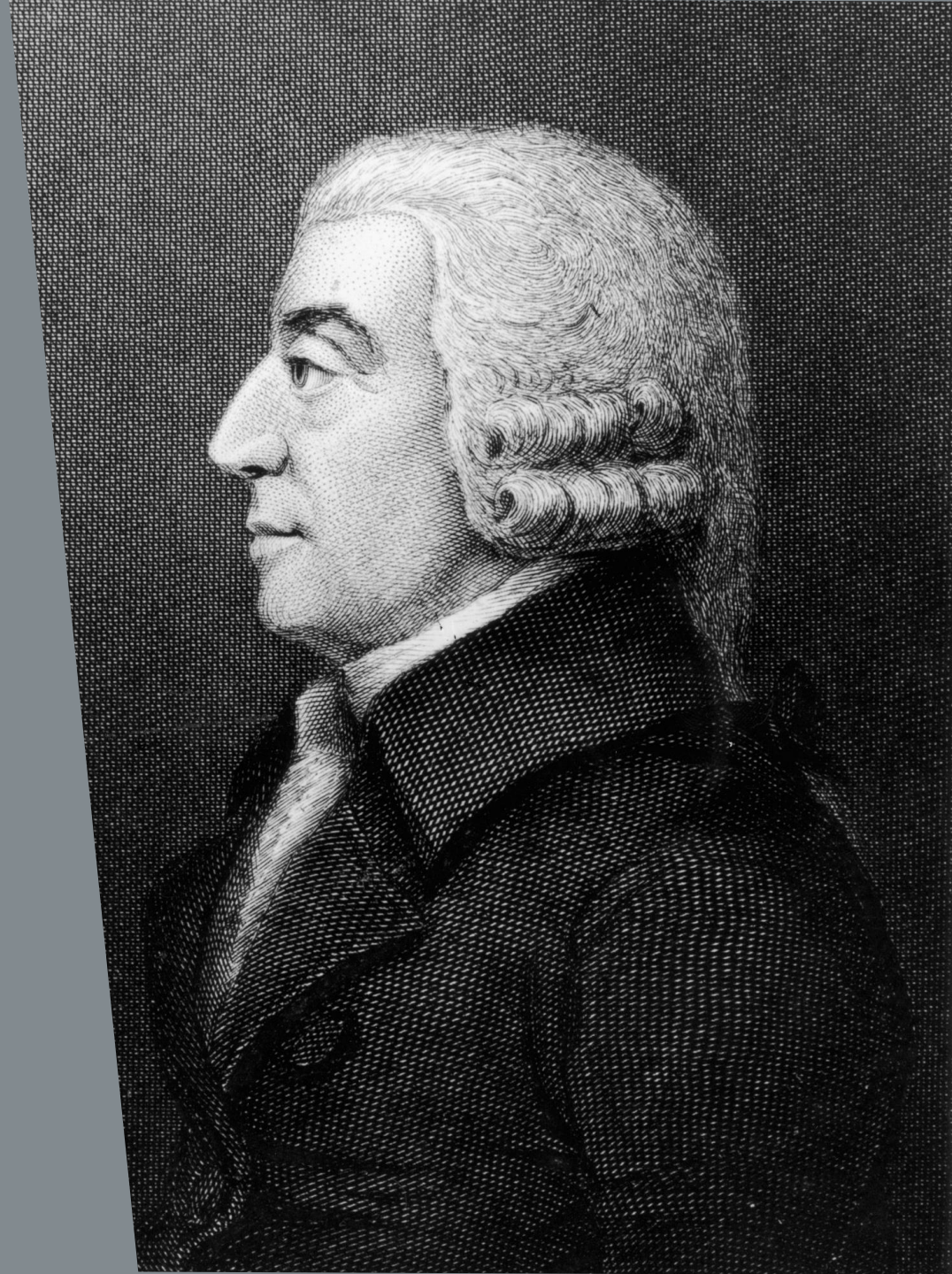
- Guiding principle in finance
- “Maximize” the “value” of the business?

Who do the managers answer to?

- CEO, Board of Directors, Shareholders?
- Keep stockholders happy = max stock price in practice
- Shareholder vs Stakeholder

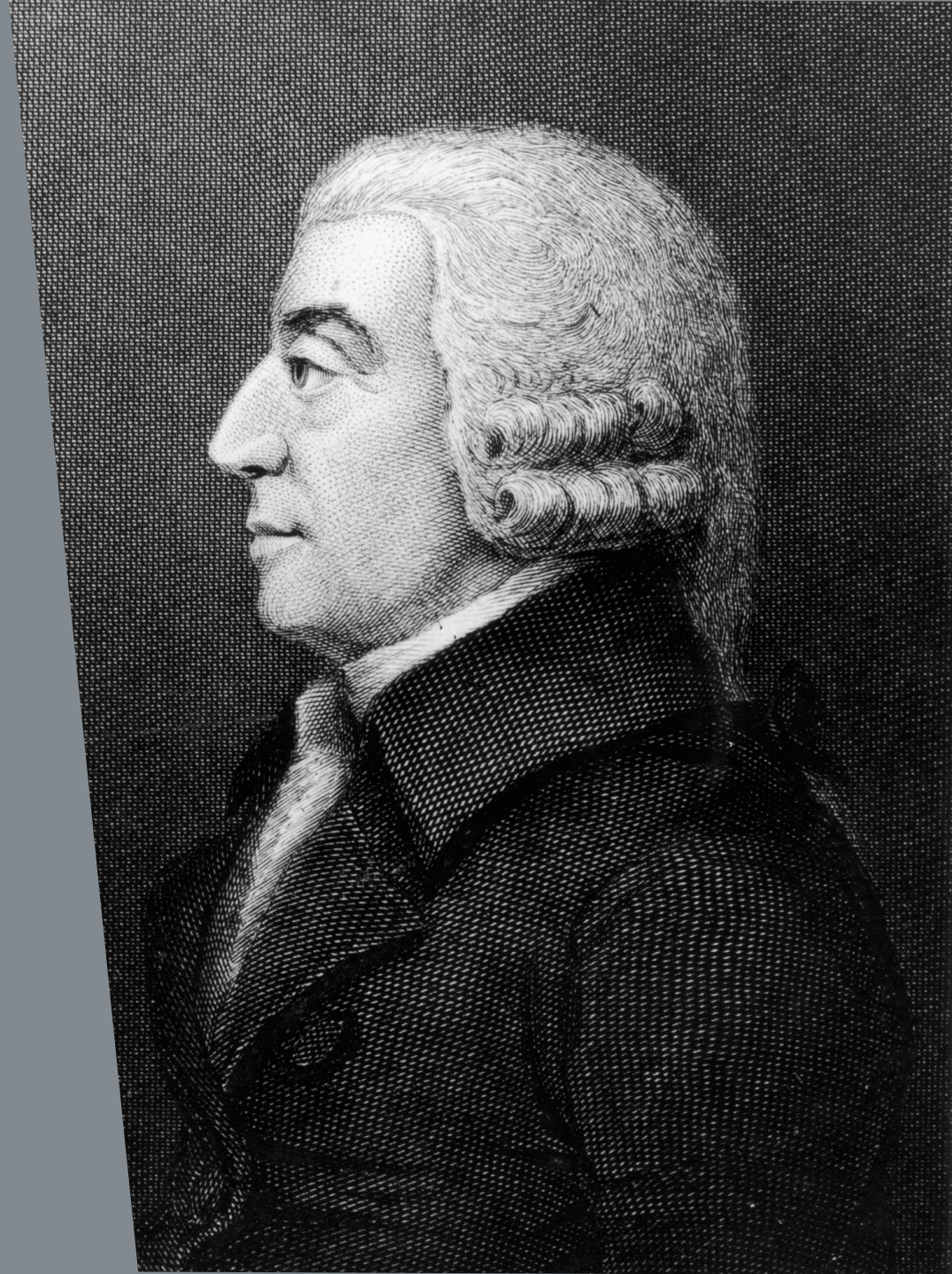
It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our own necessities but of their advantages.

- Adam Smith, *An Inquiry into the Nature & Causes of the Wealth of Nations, Vol 1, Chapter 2*



How selfish soever man may be supposed, there are evidently some principles in his nature, which interest him in the fortune of others, and render their happiness necessary to him, though he derives nothing from it except the pleasure of seeing it.

- Adam Smith, The Theory of Moral Sentiments, Part 1, Section 1



Shareholder vs Stakeholder

Common criticisms of classical stock price focus:

1. Incompatible with employee needs/objectives
2. Consumer not critical to success
3. No concern for society or societal issues

Cisco Systems

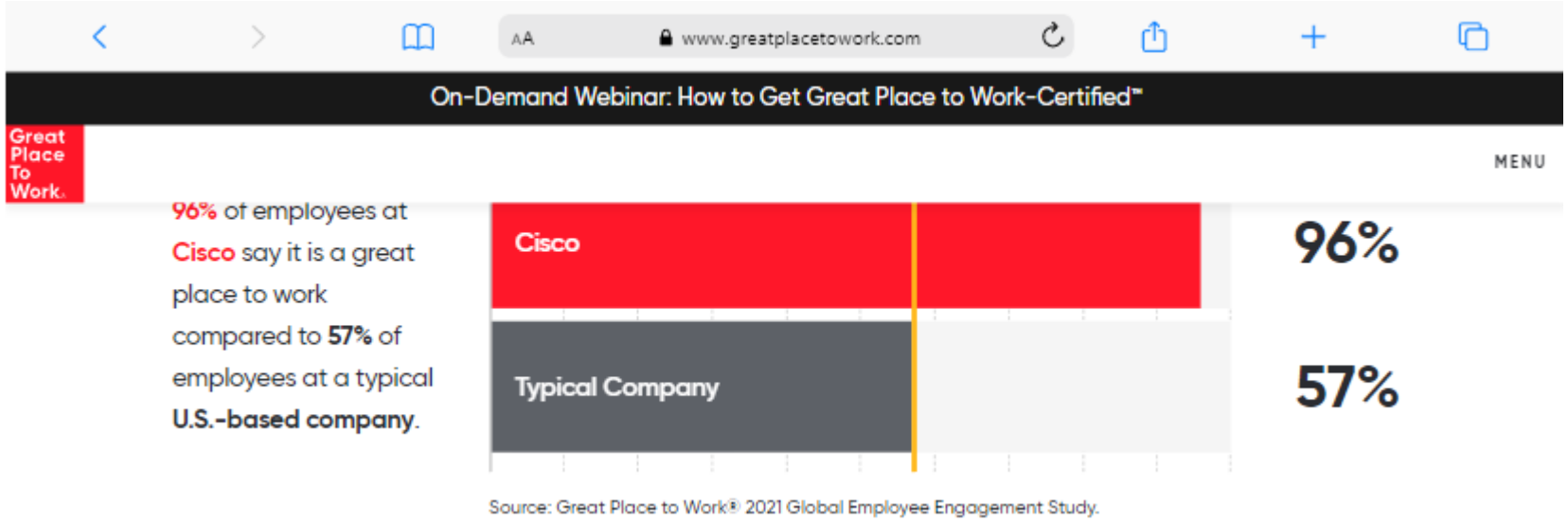
Ticker symbol: CSCO

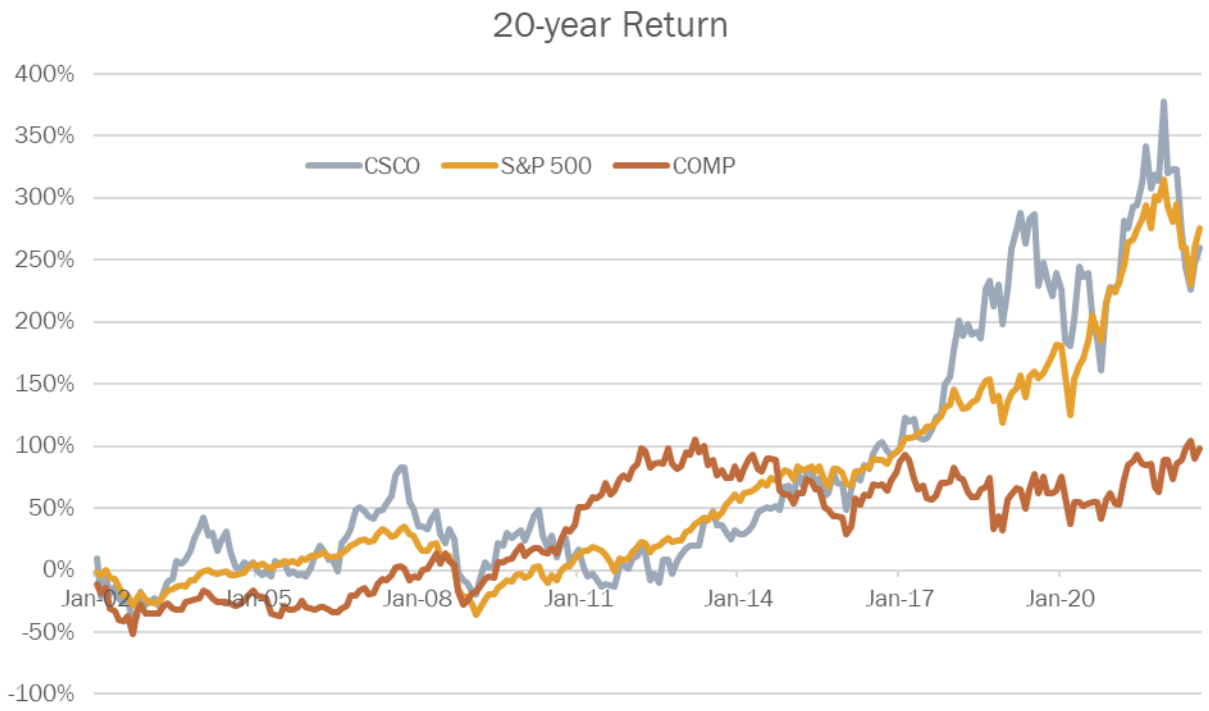
Market Cap*: $192 billion

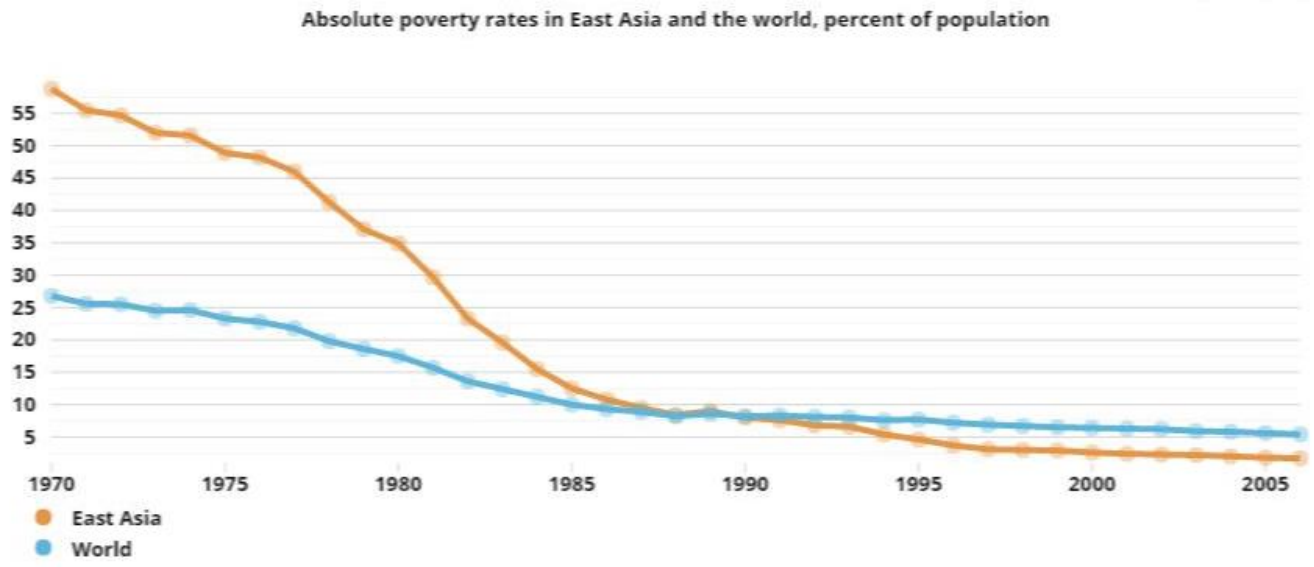
Revenues*: $49.8 billion

Fortune 100 Best Company to work for 2022

**as of August 2022*







From 1981-2008, more than 700,000 people were pulled out of absolute poverty.

That is more than 70,000 people per day.

No Concern for Society?

Source:

Pinkovskiy and Sala-i-Martin, NBER Working Paper No. 15433 (October 2009)

Link to paper

Agency Issues

Agency problem

- Managers are agents for stockholders and are tempted to act in their own interests rather than maximizing value
- Principal-agent problem

Agency cost.

- Value lost from agency problems or from the cost of mitigating agency problems

Solution = good corporate governance